cent guaranteed increase over the base tax revenue (state VAT + CST + entry tax + octroi + local body tax + luxury tax + advertisement tax) in 2015–16. The Act further provides that all GST Cess collected will be credited to a non-lapsable fund—the GST Compensation Fund—in the Public Account of the Union of India. Amounts in the fund remaining unutilized at the end of the transition period (five years) are to be shared between the Union (50 per cent) and the states (in the ratio of SGST).

An amount of Rs 62,612 crore was collected as GST Cess in financial year 2017–18. However, only Rs 56,146 crore was transferred to the GST Fund Account, leaving Rs 6466 crore in the CFI. An amount of Rs 41,146 crore was released in four instalments to the states as compensation (Rs 10,806 crore, Rs 13,694 crore, Rs 3898 crore and Rs 12,749 crore for a bi-monthly period beginning July 2017). This left a total of Rs 21,466 crore unutilized (Rs 15,000 crore in the fund and Rs 6466 crore not transferred to the fund). In 2018–19, an amount of Rs 95,081 crore was collected as GST Cess (provisional numbers from CGA). Only Rs 69,275 crore was transferred to the states for compensation. In 2019–20, too, the GST Cess yielded a surplus of Rs 25,806 crore. The Central government did not transfer any of this amount in the GST Fund. Instead, it re-transferred Rs 15,000 crore from the fund (left unspent in the previous year) to the CFI. Taken together, a surplus of Rs 47,272 crore of GST Compensation Cess was with the Central government at the beginning of 2019–20.

The year 2019–20 was quite bad for the GST collections of the states. Consequently, the Government of India remained under pressure to release more Compensation Cess than collected. The government delayed the release of GST Compensation Cess for the August–September and October–November periods. It finally relented on 15 December to release Rs 35,298 crore, drawing from the amounts retained during 2017–18 and 2018–19. Finally, the entire shortfall of Rs 1.65 lakh crore for the year 2019–20 in the states' entitled revenues of SGST was paid off using